DL E&C (375500 KS)

Housing strong, now with nuclear power and shareholder returns

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BUY (I)

Target price	W108,000 (I)
Previous target price	-
Current price (Sep 18)	W86,900
Upside potential	24%

Market cap (Wbn)	3,363
Shares outstanding	42,919,459
Avg daily T/O (2M, Wbn)	27
Avg daily volume (2M, shrs)	386,283
52-week high/low (won)	102,500 / 38,700
Foreign ownership (%)	23.58%
Dividend yield (%)	2.16%
Major shareholders	DL Holdings & others

Stock performance

(%)	1M	3M	12M
Absolute	23.1	9.7	101.4
Relative	22.7	44.3	1.1
Abs (US$)	25.6	21.1	102.0

Initiate coverage at BUY and target price of W108,000

We initiate coverage of DL E&C at BUY and target price of W108,000. Our target price was derived by applying a fair P/B of 0.74x, reflecting a 12-month-forward ROE of 8.0%, to 12-month-forward BPS of W145,574. We forecast 2026 revenue at W7.1tn (-3.5% YoY) and OP at W604.8bn (+56.3% YoY; OPM 8.5%).

The revenue contraction caused by lower plant orders should ease as the company secures its prospective data center, SMR, and plant projects. In 2H26, we expect data center orders worth W2tn and plant orders worth W2.5tn, comprising W1tn in Korea and W1.5tn overseas.

Housing costs continue to improve

The housing division's cost-to-sales ratio improved 10.5%p YoY to 76.7% in 2Q26, while the company-wide operating margin reached 8.8%. We expect the improvement in housing costs to continue through 2027.

Nuclear power business on track

The company made a strategic equity investment in X-energy, a SMR developer, and signed a standardized design contract (W15bn) with X-energy in March. Subsequent EPC bidding (projected for 2027) is also expected. Moreover, prospective participation in Team Korea's large-scale nuclear power projects as a non-lead contractor should provide further upside.

Shareholder return expansion

The company presented three-year (2024-2026) shareholder return policy committed to returning 25% of consolidated net profit (10% cash dividend, 15% share buyback). In 2025, DPS increased 64.8% YoY to W890 and total dividend payouts grew 61.2% to W37.1bn. On July 30, the board approved a W55.5bn treasury share buyback trust for 2H26, likely expanding the shareholder return policy to share cancellations.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,680	-11.9	-6.8	1,736	-3.2
OP	133	13.7	-16.7	127	4.2
Pre-tax net profit	144	-4.5	-16.7	142	1.0
Net profit, CI	109	-13.7	-15.9	102	6.7
OPM (%)	7.9	+1.8 %pt	-0.9 %pt	7.3	+0.6 %pt
NPM (%)	6.5	-0.1 %pt	-0.7 %pt	5.9	+0.6 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	8,318	7,402	7,142	7,110
OP	271	387	605	581
Net profit, CI	229	370	521	469
P/E (x)	5.8	4.5	6.5	7.2
P/B (x)	0.3	0.3	0.6	0.6
EV/EBITDA (x)	1.2	1.6	3.3	2.8
ROE (%)	4.8	7.3	9.5	7.9

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

I. Target price and valuation

Earnings normalization, supported by stronger shareholder returns

We initiate coverage of DL E&C at BUY and target price of W108,000. Our target price was derived by applying a fair P/B of 0.74x, reflecting a 12-month-forward ROE of 8.0% and COE of 10.9%, to 12-month-forward BPS of W145,574. Our target price implies a 24% upside from the current share price of W86,900.

The investment case rests on three factors: earnings normalization in the core business through improved housing costs, new growth engines in data centers, plants, and SMRs, and stronger shareholder returns that should support the lower end of the valuation range.

The stock is trading at around 0.6x 2026E P/B. If housing profitability continues to improve through 2027 and a recovery in new orders mitigates the decline in plant revenue, the current valuation discount could narrow.

DL E&C: target price calculation

	Value	Note
Target P/B [A = (a − f) / (b − f)]	**0.74x**	
12-month-forward ROE (a)	8.0%	
COE [b = c + d × e]	10.9%	
Risk-free rate (c)	3.3%	One-year average yield on 3-year KTB
Market risk premium (d)	8.4%	
Adjusted beta (e)	0.89	
Perpetual growth rate (f)	-	
DL E&C 12-month-forward BPS (B)	**W145,574**	
TP (C = A × B)	**W108,000**	Rounded to the nearest W1,000
Current share price	W86,900	Closing price on Sep 18, 2026
Upside	**24%**	

Source: Yuanta Securities

II. Earnings estimates

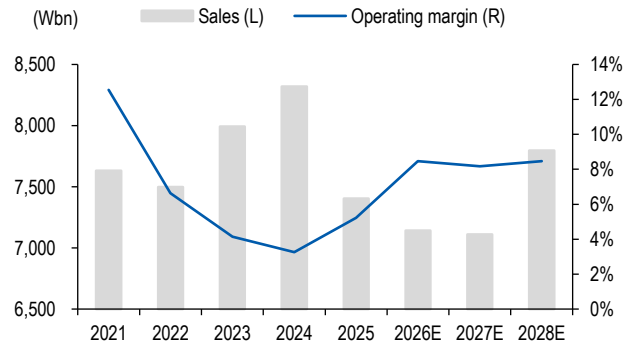
2026 OP to rise 56% YoY

We forecast 2026 consolidated revenue at W7.1422tn (-3.5% YoY) and OP at W604.8bn (+56.3% YoY). Despite the decline in revenue, the sharp increase in OP should lift the operating margin to 8.5%. For 2027, we forecast revenue at W7.1097tn and OP at W581.2bn.

Housing at the center of earnings growth

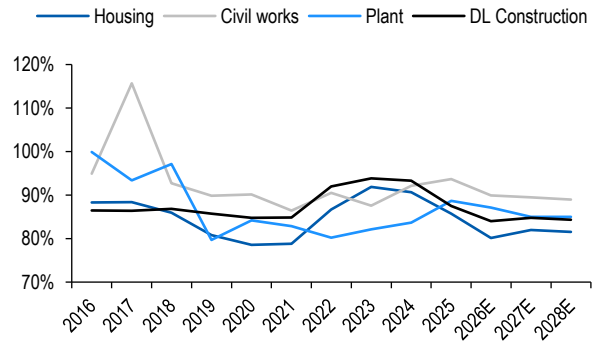
We forecast housing revenue to increase 8.9% YoY to W2.8tn in 2026 and rise a further 8.7% YoY to W3.0tn in 2027. By contrast, plant revenue is projected to decline from W2.5tn in 2025 to W2.3tn in 2026 and W1.7tn in 2027. The current constraint on top-line growth is the lack of new plant orders. DL E&C's 2026 earnings structure therefore reflects improving housing profitability offsetting lower plant revenue. Once the company secures new data center and domestic and overseas plant orders, the decline in plant revenue from 2027 onward is likely to moderate.

DL E&C: sales operating margin



Source: company data, Yuanta Securities

DL E&C: cost-to-sales ratio by business



Source: company data, Yuanta Securities

DL E&C: earnings trend and forecast											(Wbn)
	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**1,808.2**	**1,991.4**	**1,907.0**	**1,695.8**	**1,725.2**	**1,802.9**	**1,680.2**	**1,933.9**	**7,402.4**	**7,142.2**	**7,109.7**
% YoY	-4.4%	-3.8%	-0.6%	-30.5%	-4.6%	-9.5%	-11.9%	14.0%	-11.0%	-3.5%	-0.5%
DL E&C (separate + overseas subsidiaries)	1,346.7	1,556.7	1,535.7	1,319.9	1,351.7	1,435.8	1,411.9	1,626.9	5,759.0	5,826.2	5,640.9
Housing	573.6	659.2	685.9	617.8	606.3	714.5	669.1	773.3	2,536.5	2,763.2	3,004.7
Civil works	192.6	189.7	151.7	209.8	166.5	182.7	196.2	240.7	743.8	786.0	945.6
Plant	578.0	707.2	698.9	492.0	578.7	538.3	546.6	612.7	2,476.1	2,276.3	1,690.0
Support/other	2.5	0.6	(0.8)	0.3	0.2	0.3	0.0	0.2	2.6	0.7	0.6
DL Construction	466.7	437.6	368.5	379.8	376.0	370.5	270.1	309.9	1,652.6	1,326.5	1,479.2
Consolidation adj	(5.2)	(2.9)	2.8	(3.9)	(2.5)	(3.4)	(1.8)	(2.9)	(9.2)	(10.5)	(10.5)
Gross profit	**193.1**	**253.7**	**256.5**	**196.8**	**263.6**	**311.2**	**256.2**	**299.5**	**900.1**	**1,130.5**	**1,116.8**
% YoY	6.8%	51.5%	22.2%	-31.5%	36.5%	22.7%	-0.1%	52.1%	6.4%	25.6%	-1.2%
DL E&C (separate + overseas subsidiaries)	142.1	209.0	202.2	138.0	195.4	253.6	216.6	255.3	691.3	920.9	894.3
Housing	53.1	84.1	119.1	105.9	122.1	166.5	120.4	139.2	362.2	548.2	540.8
Civil works	19.6	16.7	(14.5)	25.2	16.4	19.3	19.6	24.1	47.1	79.3	99.5
Plant	67.2	107.8	98.2	6.7	56.7	67.7	76.5	91.9	279.9	292.8	253.5
DL Construction	51.1	44.8	51.1	59.2	66.2	61.7	39.5	44.7	206.2	212.2	225.7
OP	**81.0**	**126.2**	**116.7**	**63.1**	**157.4**	**159.4**	**132.7**	**155.3**	**387.0**	**604.8**	**581.2**
% YoY	33.0%	286.9%	40.1%	-32.9%	94.3%	26.3%	13.7%	146.1%	42.8%	56.3%	-3.9%
DL E&C (incl overseas subs)	59.1	103.5	116.7	37.8	107.4	133.8	118.1	135.5	317.1	494.8	478.6
DL Construction	21.9	22.7	0.0	25.3	50.0	25.6	14.6	19.8	69.9	110.0	102.6
Pretax profit	**42.5**	**24.7**	**150.3**	**(100.3)**	**212.3**	**172.3**	**143.5**	**160.1**	**117.2**	**688.2**	**617.4**
% YoY	-3.6%	-55.9%	162.3%	TTR	399.3%	597.9%	-4.5%	TTB	-66.9%	487.3%	-10.3%
Net profit, CI	**30.2**	**8.3**	**126.3**	**205.3**	**160.1**	**129.7**	**109.1**	**121.7**	**370.2**	**520.6**	**469.2**
% YoY	16.4%	-79.6%	179.0%	75.0%	429.5%	1464.5%	-13.7%	-40.7%	61.5%	40.6%	-9.9%
Margin											
Gross margin	**10.7%**	**12.7%**	**13.5%**	**11.6%**	**15.3%**	**17.3%**	**15.3%**	**15.5%**	**12.2%**	**15.8%**	**15.7%**
DL E&C (separate + overseas subsidiaries)	10.6%	13.4%	13.2%	10.5%	14.5%	17.7%	15.3%	15.7%	12.0%	15.8%	15.9%
Housing	9.3%	12.8%	17.4%	17.1%	20.1%	23.3%	18.0%	18.0%	14.3%	19.8%	18.0%
Civil works	10.2%	8.8%	-9.5%	12.0%	9.8%	10.5%	10.0%	10.0%	6.3%	10.1%	10.5%
Plant	11.6%	15.2%	14.1%	1.4%	9.8%	12.6%	14.0%	15.0%	11.3%	12.9%	15.0%
DL Construction	11.0%	10.2%	13.9%	15.6%	17.6%	16.7%	14.6%	14.4%	12.5%	16.0%	15.3%
Operating margin	**4.5%**	**6.3%**	**6.1%**	**3.7%**	**9.1%**	**8.8%**	**7.9%**	**8.0%**	**5.2%**	**8.5%**	**8.2%**
DL E&C (incl overseas subs)	4.4%	6.6%	7.6%	2.9%	7.9%	9.3%	8.4%	8.3%	5.5%	8.5%	8.5%
DL Construction	4.7%	5.2%	0.0%	6.7%	13.3%	6.9%	5.4%	6.4%	4.2%	8.3%	6.9%
Pretax margin	**2.4%**	**1.2%**	**7.9%**	**-5.9%**	**12.3%**	**9.6%**	**8.5%**	**8.3%**	**1.6%**	**9.6%**	**8.7%**
Net margin, CI	**1.7%**	**0.4%**	**6.6%**	**12.1%**	**9.3%**	**7.2%**	**6.5%**	**6.3%**	**5.0%**	**7.3%**	**6.6%**

Note: CI = controlling interest, Source: company data, Yuanta Securities

III. Investment highlights

1. Housing: Profitability recovery through lower costs

Housing is DL E&C's clearest investment point. The housing division's cost-to-sales ratio improved 10.5%p YoY to 76.7% in 2Q26, while the company-wide operating margin reached 8.8%. We expect the improvement in housing cost-to-sales ratio to continue through 2027.

This reflects the simultaneous completion of legacy high-cost projects and a rising revenue contribution from new projects. In the housing business, lower costs have a greater impact on earnings than revenue growth. Even without a significant increase in revenue, the division can sustain a high level of OP if the cost-to-sales ratio remains stable at its current level.

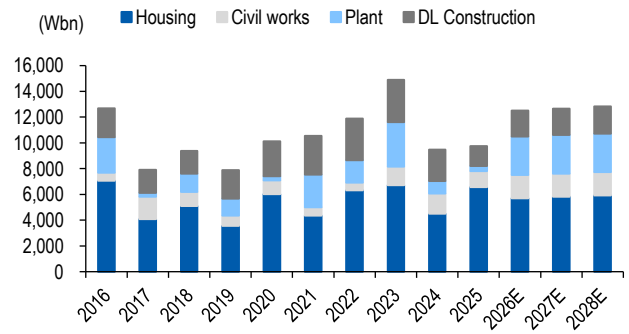
The key metric to monitor in DL E&C's 2026 earnings is therefore the sustainability of the housing cost-to-sales ratio. If the current improvement continues, the housing business should remain the primary pillar of company-wide earnings through 2027.

2. Data centers and plant: top-line growth on new orders

The company's weakness lies in the contraction of plant business revenue. As the existing order backlog translates into revenue amid a vacuum in new bookings, plant sales are expected to decrease in 2027. Conversely, securing new orders is likely the most direct variable for upward revisions to future earnings estimates.

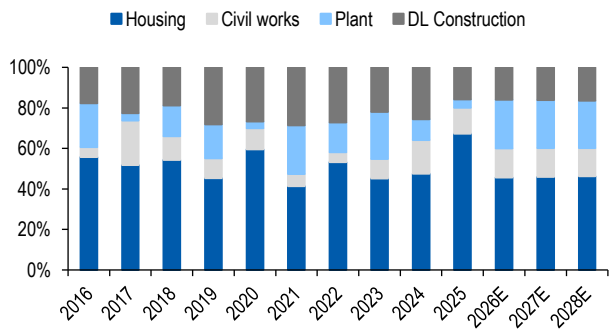
The company expects to win W2tn data center orders and W2.5tn plant orders (W1tn domestic, W1.5tn overseas) in 2H26. The successful conversion of these projects into binding contracts should ease the decline in plant order backlog and re-establish revenue foundation going forward. Data centers represent a new growth engine that is different from conventional housing and plants. Therefore, confirming conversion of data center and plant pipelines into actual contracts will likely be crucial in 2H26.

DL E&C: new orders by business



Source: company data, Yuanta Securities

DL E&C: new order share by business



Source: company data, Yuanta Securities

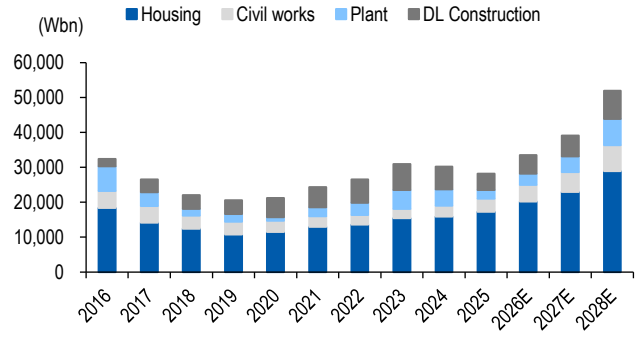
3. SMR: entering the EPC market with X-energy

The company made a strategic equity investment in X-energy, a SMR developer, and signed a standardized design contract worth W15bn with X-energy in March. The tender for consequent EPC contract is anticipated in 2027. Moreover, prospective non-lead participation in Team Korea's large-scale nuclear power projects will likely lead to additional orders.

At present, SMR's contribution to DL E&C's earnings remains limited. Rather than immediate contribution to earnings, the critical factor is whether the company can expand business scope from basic engineering to EPC.

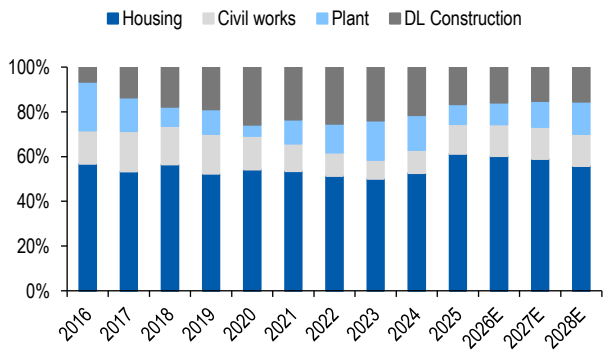
Unlike conventional nuclear power EPC markets centered on large-scale reactors, the SMR industry is in an early stage of commercial formation. If X-energy projects transition into the EPC phase, and the company secures subsequent projects, it will likely establish a foundation to independently value the company's nuclear power business.

DL E&C: order backlog by business



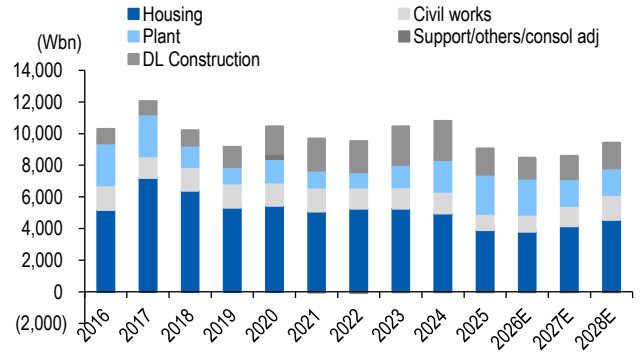
Source: company data, Yuanta Securities

DL E&C: order backlog share by business



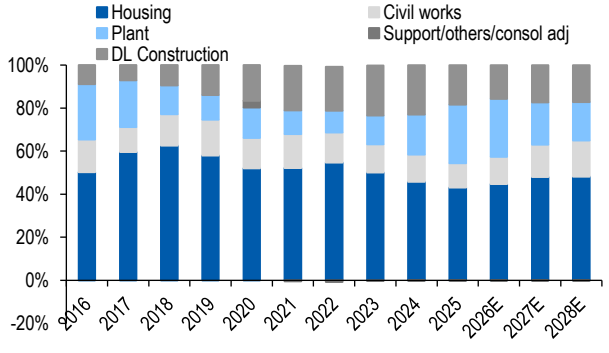
Source: company data, Yuanta Securities

DL E&C: sales breakdown by business



Source: company data, Yuanta Securities

DL E&C: sales portion by business



Source: company data, Yuanta Securities

4. Shareholder return: 25% net profit payout to narrow valuation discount

The company presented three-year (2024-2026) shareholder return policy committed to returning 25% of 2024 consolidated net profit (10% cash dividend, 15% share buyback) to shareholders. In 2025, DPS increased 64.8% YoY to W890 and total dividend payouts grew 61.2% to W37.1bn. On July 30, the board approved a W55.5bn treasury share buyback trust for 2H26, likely expanding the shareholder return policy to share cancellations.

This carries significance beyond simple dividend expansion. Construction shares have historically traded at low P/Bs due to earnings volatility and low ROE. If profit normalization and treasury share buyback/cancellation continue simultaneously, BPS will increase and discount to valuation will narrow as well.

Ultimately, the core catalysts for valuation rerating are: 1) continued improvement in housing cost-to-sales ratio, 2) securing data center/plant orders, 3) conversion of SMR engineering into EPC contracts, and 4) continued shareholder return. Among these, performance in the housing business and shareholder returns are already visible, while whether data centers/plants/SMRs translate into actual order wins will likely become the key determinant of further share price growth.

DL E&C (375500 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**8,318**	**7,402**	**7,142**	**7,110**	**7,796**
Cost of sales	7,473	6,502	6,012	5,993	6,549
Gross profit	846	900	1,131	1,117	1,247
SG&A	575	513	526	536	587
Operating profit	**271**	**387**	**605**	**581**	**659**
EBITDA	356	461	655	606	679
Non-operating profit	83	-270	83	36	45
Forex gains	129	-69	58	0	0
Net interest income	52	66	38	47	56
Equity-method gains	-8	2	-20	-11	-11
Other	-90	-269	7	1	0
Net prof before income tax	354	117	688	617	704
Income tax	125	-253	168	148	169
Net profit from continuing ops	229	370	521	469	535
Net profit from discontinued ops	0	0	0	0	0
Net profit	229	370	521	469	535
NP for controlling interest	**229**	**370**	**521**	**469**	**535**
Total comprehensive income	118	456	523	469	535
Total comprehensive income, CI	118	456	523	469	535

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**6,006**	**5,635**	**6,496**	**6,967**	**7,707**
Cash & cash equivalents	1,864	1,844	2,174	2,597	2,919
Accounts receivables & other	1,649	1,547	1,764	1,783	1,952
Inventory	921	886	1,011	1,022	1,120
Non-current assets	3,707	4,035	4,100	4,103	4,234
Tangible assets	36	42	25	17	15
Investment in affiliates	559	552	629	636	698
Other investment assets	874	932	1,046	1,055	1,129
Total assets	**9,712**	**9,669**	**10,596**	**11,070**	**11,941**
Current liabilities	3,855	3,727	4,067	4,107	4,464
Accounts payable & other	1,821	1,628	1,857	1,877	2,058
ST financial liabilities	160	160	250	250	250
Liquid LT liabilities	70	359	159	159	159
Non-current liabilities	1,012	699	803	804	820
LT financial liabilities	428	269	354	354	354
Debentures	419	175	175	175	175
Total liabilities	**4,867**	**4,425**	**4,869**	**4,911**	**5,284**
Equity, controlling interest	4,846	5,244	5,727	6,159	6,657
Paid-in capital	229	229	229	229	229
Capital surplus	3,831	3,831	3,831	3,831	3,831
Retained earnings	1,076	1,423	1,907	2,339	2,837
Equity, non-controlling interest	0	0	0	0	0
Total equity	**4,846**	**5,244**	**5,727**	**6,159**	**6,657**
Net debt	**-981**	**-1,010**	**-1,399**	**-1,825**	**-2,174**
Total debt	1,183	1,121	1,102	1,102	1,107

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**188**	**232**	**-85**	**317**	**262**
Net profit	229	370	521	469	535
Depreciation & amortization	76	68	45	21	16
Forex gains	-123	-12	-75	0	0
Affiliate investment gains	8	-2	20	11	11
Increase in net working cap	-375	-347	-1,074	-670	-786
Other	373	155	478	486	485
Investing cash flow	**-167**	**-52**	**-137**	**-32**	**-182**
Investment	-34	-25	-176	-15	-136
Increase in tangible assets	-10	-17	-11	-13	-14
Decrease in tangible assets	5	2	0	0	0
Other	-129	-12	50	-4	-32
Financing cash flow	**-192**	**-222**	**-76**	**-37**	**-32**
ST financial liabilities	4	-18	96	1	5
Debenture/LT financial liabilities	-111	-44	-116	0	0
Equity	-2	0	0	0	0
Cash dividend	-22	-23	-37	-37	-37
Other cash flow	-61	-138	-19	0	0
Consolidation adj and other	31	22	628	175	274
Increase in cash & equivalents	**-140**	**-20**	**329**	**424**	**322**
Beginning cash & equivalents	2,004	1,864	1,844	2,174	2,597
Ending cash & equivalents	1,864	1,844	2,174	2,597	2,919
NOPLAT	271	1,222	**605**	**581**	**659**
FCF	**178**	**215**	**-97**	**304**	**248**

Valuation

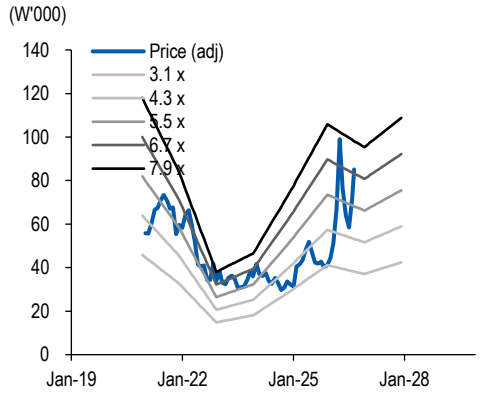
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,873	9,471	13,356	12,029	13,731
BPS (won)	114,139	126,050	138,121	148,543	160,554
EBITDA/shr (won)	8,294	10,744	15,268	14,126	15,815
SPS (won)	194,069	172,472	166,410	165,652	181,636
DPS (won)	540	890	890	890	890
P/E (x)	**5.8**	**4.5**	**6.5**	**7.2**	**6.3**
P/B (x)	**0.3**	**0.3**	**0.6**	**0.6**	**0.5**
EV/EBITDA (x)	**1.2**	**1.6**	**3.3**	**2.8**	**2.0**
P/S (x)	**0.2**	**0.2**	**0.5**	**0.5**	**0.5**

Key financial data

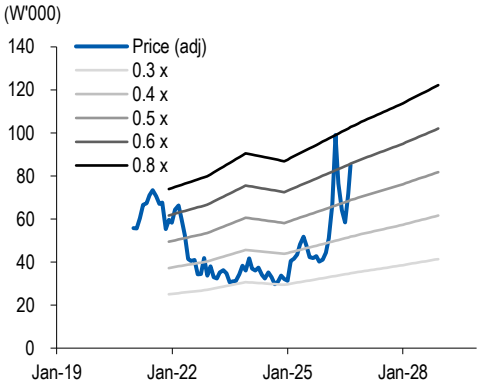
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**4.1**	**-11.0**	**-3.5**	**-0.5**	**9.6**
Operating profit (%YoY)	**-18.1**	**42.8**	**56.3**	**-3.9**	**13.5**
Net profit, CI (%YoY)	**22.0**	**61.5**	**40.6**	**-9.9**	**14.0**
Gross margin (%)	10.2	12.2	15.8	15.7	16.0
Operating margin (%)	**3.3**	**5.2**	**8.5**	**8.2**	**8.5**
Net margin, CI (%)	2.8	5.0	7.3	6.6	6.9
EBITDA margin (%)	4.3	6.2	9.2	8.5	8.7
ROIC (%)	42.8	326.0	110.7	103.2	114.7
ROA (%)	2.4	3.8	5.1	4.3	4.7
ROE (%)	**4.8**	**7.3**	**9.5**	**7.9**	**8.4**
Debt-to-equity (%)	100.4	84.4	85.0	79.7	79.4
Net debt-to-equity (%)	-20.3	-19.3	-24.4	-29.6	-32.7
OP/financing cost (x)	5.3	8.7	24.6	34.0	38.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

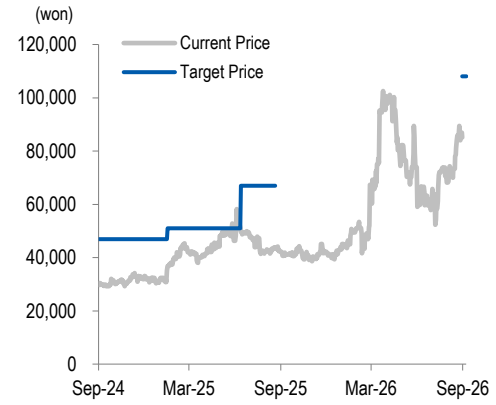
P/E band chart



P/B band chart



DL E&C (375500 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/22	BUY	108,000	1 yr		
2026/09/21	BUY	108,000	1 yr		
	Analyst changed				
2025/07/04	BUY	67,000	1 yr	-32.18	-25.52
2025/02/07	BUY	51,000	1 yr	-13.26	14.12
2024/07/18	BUY	47,000	1 yr	-32.91	-24.57

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.8
HOLD	3.2
SELL	0
Total	100.0

Note: As of Sep 22, 2026

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Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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